

FROM DISASTER, OPPORTUNITY SPRINGS

As employers, I could not have asked for nicer people. In the ensuing eight months, I had one of the most valuable business educational experiences of my life. I saw at first hand example after example of how the investment business should not be conducted. As 1930 unfolded and stocks once again continued on what seemed like an almost endless decline, my employers' position got more and more precarious. Then, just before Christmas of 1930, we, who had so far survived the economic holocaust, witnessed the grim picture of the whole firm being suspended from the San Francisco Stock Exchange for insolvency.

This grim news for my associates was to prove one of the most fortunate business developments, if not the most fortunate, of my life. For some time I had had vague plans that when prosperity returned I would start my own business by charging clients a fee for managing their investments. I am purposely using this roundabout way to describe the activities of an investment counselor or an investment advisor because in those days neither of these terms had yet been used. However, with almost everyone in the financial business retrenching during that gloomy January of 1931, the only security industry job I could find was a purely clerical and, to me, a quite unattractive one. If I had properly analyzed the situation, I would have realized that this was exactly the right time to start a new business of the kind I had in mind. I was to find that there were two reasons for this. One was that, after almost two years of the most severe bear market this nation had ever seen, nearly everyone was so dissatisfied with their existing brokerage connections that they were in the mood to listen even to someone both young and advocating a radically different approach to the handling of their investments as was I. Also, as the economy reached its depths in 1932, many key businessmen had so little to do in pursuing their own affairs that they had the time to see someone who was calling on them. In more normal times, I would never have gotten by their secretaries. One of the most worthwhile clients of my entire business career, and a man whose family's investments I still handle, was a typical example of this. Some years afterwards he told me that on the day I called he had had almost nothing to do and had already finished reading the sports section of the